



Best's Credit Rating Effective Date

July 10, 2025

Analytical Contacts

Tyler Samani
Financial Analyst II
Tyler.Samani@ambest.com
+1(908) 439-2200 Ext. 908-882-2296

Wayne J Kaminski
Associate Director-Analytics
Wayne.Kaminski@ambest.com
+1(908) 439-2200 Ext. 908-882-1916

Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

Investors Heritage Life Insurance Company

AMB #: 006580 | **NAIC #:** 64904 | **FEIN #:** 61-0574893

Ultimate Parent: AMB # 045511 - Aquarian Peninsula Holdings LLC

Best's Credit Ratings

Financial Strength Rating (FSR)

B++ Good
Outlook: Stable Action: Affirmed

Issuer Credit Rating (ICR)

bbb+ Good
Outlook: Stable Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Adequate
Operating Performance	Adequate
Business Profile	Neutral
Enterprise Risk Management	Appropriate

Rating Rationale

Balance Sheet Strength: **Adequate**

- Investors Heritage Life's Best's Capital Adequacy Ratio (BCAR) assessment improved from weak to strong in 2024. The company has experienced volatility in the BCAR scores in recent years as it manages new business strain from strong annuity sales.
- Growth in capital has historically been supported by capital contributions from the parent to offset the new business strain from strong annuity sales.
- Reinsurance leverage, which is below the industry average, has increased in recent years.
- The investment portfolio's risk profile is in line with peers and has good diversification across investment asset classes.

Operating Performance: **Adequate**

- While Investors Heritage Life has generated strong premium growth in recent years, growth is expected to moderate in 2025.
- Operating income and profitability metrics declined sharply in 2023 and 2024, driven by new business strain.
- Investment income has grown significantly over the past five years, driven by significant invested assets growth and a strong increase in investment yield.

Business Profile: **Neutral**

- Maintains a modest market share in pre-need / final expense coverage.
- The company's evolving risk profile has shifted from pre-need / final expense products to fixed-indexed and fixed-deferred annuities; however, retirement and savings products represent a majority of the business.
- Investors Heritage Life has improved its business profile with reduced geographic concentration and improved product diversification with various product launches over the medium term.

Enterprise Risk Management: **Appropriate**

- Investors Heritage Life has tight oversight across all employees through ongoing and constant feedback between the board, management and business units.
- The company manages its risks through various avenues, including capital contributions, reinsurance and product monitoring.
- The company has improved many aspects of its ERM program over the past few years, but it will need to continue to enhance formal risk appetite statements and risk tolerances.

Outlook

- The stable outlooks reflect the expectation that risk-adjusted capitalization, as measured by BCAR, will remain at a strong level, while ongoing strategic initiatives implemented by management improve its operating performance over the intermediate term.

Rating Drivers

- A negative rating action could occur from a material decline in balance sheet strength assessment metrics.
- A negative rating action could occur if the company experiences a lack of improvement in operating performance.
- A positive rating action may occur given a sustained material improvement in balance sheet strength metrics.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	38.8	17.8	9.5	8.0

Source: Best's Capital Adequacy Ratio Model - L/H, US

Key Financial Indicators USD (000)	3-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Assets:							
General Account	3,662,506	2,611,514	3,447,815	2,480,956	1,932,918	1,398,359	920,976
Total	3,662,506	2,611,514	3,447,815	2,480,956	1,932,918	1,398,359	920,976
Liabilities:							
Net Life Reserves	3,130,757	2,270,118	2,948,295	2,139,550	1,595,943	1,153,555	780,817
Net Accident & Health Reserves	1	1	1	1	1	1	1
Liability for Deposit Contracts	3,551	3,476	3,457	3,478	18,411	18,453	18,402
Asset Valuation Reserve	26,337	21,378	24,193	18,180	13,797	14,102	4,894
Other General Account	217,981	153,859	190,978	135,269	106,836	41,406	23,447
Total	3,378,627	2,448,832	3,166,924	2,296,477	1,734,988	1,227,518	827,562
Total Capital and Surplus	283,879	162,682	280,890	184,479	197,929	170,841	93,414
Net Income	-5,886	-19,693	-33,010	-2,520	-1,686	3,938	267
Net Premiums Earned	224,001	310,298	1,151,345	650,491	534,125	455,920	74,513
Net Investment Income	43,548	29,544	182,583	96,446	71,366	50,112	38,087

Source: BestLink® - Best's Financial Suite

Key Financial Ratios (%)	3-Months		Year End - December 31					Weighted Average
	2025	2024	2024	2023	2022	2021	2020	
Operating Return on Revenue	-0.3	-5.7	-1.9	-1.8	0.2	1.0	3.4	-0.9
Operating Return on Capital and Surplus	-1.2	-45.6	-11.4	-7.1	0.8	3.7	5.3	-3.6
Net Investment Yield	4.9	4.7	6.2	4.5	4.5	4.6	4.6	5.1
Pre-Tax Investment Total Return	5.2	4.8	6.4	4.9	3.5	5.1	4.7	5.1

Source: BestLink® - Best's Financial Suite

Leverage (%)	3-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
General Account Liabilities to Capital and Surplus	11.9	15.1	11.3	12.4	8.8	7.2	8.9
Higher Risk Assets to Capital and Surplus:							
Mortgages Not in Good Standing	...	...	0.1	0.6	0.9	1.5	0.2
All Other Higher Risk Assets	128.4	190.6	94.1	159.5	142.5	118.9	119.5

Source: BestLink® - Best's Financial Suite

Liquidity Analysis	3-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Current Liquidity (%)	101.2	95.2	103.9	95.9	94.1	89.8	89.9
Net Operating Cash Flow USD (000)	196,425	133,921	847,923	550,838	470,552	369,914	33,379

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

The company's risk-adjusted capitalization, as measured by Best's Capital Adequacy Ratio (BCAR), improved to the strong level in 2024. The improvement is attributed to capital contributions from the parent company and proceeds from a reinsurance transaction. Historically, Investors Heritage has received capital contributions from the parent company to manage new business strain. The company also has a history of using reinsurance to help limit the strain of new product sales. Overall, the company's balance sheet strength is assessed at the adequate level.

Balance Sheet Strength (Continued...)

Capitalization

IHLIC's absolute capital has increased significantly over the past few years, increasing from \$93 million in 2020 to \$281 million in 2024. Through this period, IHLIC was supported by capital contributions from its parent company, Aquarian Insurance Holdings (AIH). Contributions include \$35 million in 2020, \$76 million in 2021, \$38 million in 2022, and \$100 million in 2024. Capital and surplus increased approximately 52% in 2024 due primarily to the \$100 million contribution and proceeds from a block reinsurance transaction completed with NewRe, which were partially offset by net losses. Capital and surplus increased further to \$284 million in the first quarter of 2025 due to unrealized gains and changes in non-admitted assets, and partially offset by realized losses.

Capital Generation Analysis USD (000)	3-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Beginning Capital and Surplus	280,890	184,479	184,479	197,929	170,841	93,414	58,458
Net Operating Gain	-876	-19,779	-26,466	-13,620	1,389	4,953	3,998
Net Realized Capital Gains (Losses)	-5,010	86	-6,544	11,100	-3,076	-1,015	-3,731
Net Unrealized Capital Gains (Losses)	5,939	661	7,900	-734	-9,483	4,302	30
Net Change in Paid-In Capital and Surplus	...	...	100,000	...	38,000	76,000	35,000
Stockholder Dividends	...	...	...	-1,350	...	...	...
Other Changes in Capital and Surplus	2,936	-2,765	21,521	-8,847	258	-6,814	-341
Net Change in Capital and Surplus	2,989	-21,796	96,412	-13,451	27,088	77,427	34,956
Ending Capital and Surplus	283,879	162,682	280,890	184,479	197,929	170,841	93,414
Net Change in Capital and Surplus (%)	1.1	-11.8	52.3	-6.8	15.9	82.9	59.8
Net Change in Capital and Surplus (5 yr CAGR)	...	...	36.9	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

The bond portfolio comprises a majority of the company's invested assets of which 95% is investment grade. Allocation to NAIC 2 bonds is slightly higher than the industry average, representing 45% of fixed income assets. Furthermore, the bond portfolio maintains a sizable allocation to structured securities with notable investments in CLO's and airline securitizations. The allocation to mortgage loans, which has declined in recent years, was approximately 2% of the investment portfolio at year-end 2024. Commercial mortgage loans are spread among retail (no indoor mall exposure), apartments, office, and other sectors. There are some geographical concentrations in a few areas, but well vetted. The allocation to long-term strategic (Schedule BA) assets has grown in recent years, but declined to approximately 7% of invested assets in 2024. These investments are mostly collateral loans and a strategic investment through CLO sub notes.

Composition of Cash and Invested Assets	3-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	3,594,239	2,555,881	3,382,315	2,426,479	1,849,147	1,283,831	878,213
Composition Percentages (%)							
Unaffiliated:							
Cash and Short Term Investments	7.7	8.6	11.6	9.6	10.1	11.1	8.1
Bonds	79.7	75.2	77.7	70.0	70.9	67.5	69.8
Stocks	2.1	2.8	2.0	2.8	4.1	5.3	6.2
Mortgage Loans	1.7	2.8	1.8	3.0	5.2	5.9	9.5
Other Invested Assets	7.8	8.8	5.6	13.3	8.7	9.9	6.7
Total Unaffiliated	98.9	98.2	98.7	98.9	99.1	99.8	100.4
Investments in Affiliates	1.3	2.1	1.7	1.5	1.1	0.5	...
Non-Admitted	-0.2	-0.3	-0.3	-0.4	-0.2	-0.2	-0.4
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Bonds and Short Term Investments - Distribution by Maturity (%)	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Government Bonds	...	0.1	...	0.1	0.2	16.1
Government Agencies and Municipal Bonds	0.7	1.4	2.1	7.9	3.1	14.2
Industrial and Miscellaneous Bonds	7.2	24.3	18.4	8.5	22.9	11.2
Bank Loans	0.7	4.1	0.2	...	...	2.9
Hybrid Securities	0.1	0.2	0.4	0.2	1.8	19.5
Affiliated Bonds	...	...	0.6	...	...	7.5
Total Bonds	8.0	26.0	21.5	16.7	27.8	11.9

Source: BestLink® - Best's Financial Suite

Bonds - Distribution by Issuer	Year End - December 31				
	2024	2023	2022	2021	2020
Bonds USD (000)	2,643,385	1,712,648	1,311,909	867,025	612,969
US Government (%)	0.2	0.3	0.2	0.4	0.6
Foreign Government (%)	0.1	0.2	0.3	0.6	0.6
Foreign - All Other (%)	18.2	20.5	21.4	16.6	23.7
State, Municipal & Special Revenue (%)	15.1	20.5	16.8	16.4	19.6
Industrial & Miscellaneous (%)	63.1	55.2	58.1	62.2	51.8
Hybrid Securities (%)	2.6	2.5	3.1	3.8	3.7
Affiliated (%)	0.6	0.8	...	...	...
Total Bonds (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Reserve Adequacy

The company reserves adequately for its fixed annuities. Reserves are considered sufficient and supported by their actuarial analysis and cash flow testing.

Holding Company Assessment

Investors Heritage Capital Corporation (IHCC) is an intermediate holding company, domiciled in Kentucky. Aquarian Insurance Holdings LLC (AIH) is the ultimate holding company which includes an unrated insurer and is domiciled in Delaware. This assessment is based on AIH's consolidated statements. The group has infused capital into the insurance company to support growth and further diversify its investor base. There is some financial leverage at the holding company level at approximately 29.7%, however AM Best believes the company has the financial wherewithal to cover its debt obligations.

Operating Performance

Investors Heritage generated a net operating loss of \$26.5 million in 2024 due to first year statutory income strain on new business and annuity surrenders. The strain and surrenders were partially offset by strong growth in investment income. On a net income basis, the company reported a loss of \$33.0 million, down from a loss of \$2.5 million in 2023. IHLIC paid approximately \$4.6 million in income taxes despite generating an operating loss due to taxable income generated from the NewRe reinsurance transaction. The company generated a net loss of \$5.9 million through the first quarter of 2025, largely due to realized losses in the investment portfolio.

The company experienced a significant increase in surrenders as a large portion of MYGAs were coming out of their surrender charge period. Surrenders are expected to have a limited impact going forward, as a majority of the MYGA liabilities have exited the surrender charge period and FIA liabilities have adequate surrender charge protection. IHLIC continued to show strong premium growth with \$1.19 billion in premium in 2024, a 77% increase. Fixed indexed annuities have made up a majority of premium over the past few years.

Operating Performance (Continued...)

Investment income has increased significantly in recent years, from \$38 million in 2020 to \$183 million in 2024. The company's net yield remains stronger than the industry average and Individual Annuity composite average. Investment income is expected to continue to increase as strong annuity sales add to the asset base.

IHLIC also generates non-risk revenue from its third-party administration (TPA) segment. These agreements, for various levels of administrative services on behalf of each company, generate fee income for Investors Heritage Life.

Net Operating Gain By LOB USD (000)	Year End - December 31				
	2024	2023	2022	2021	2020
Individual Life	576	-401	192	1,769	1,970
Group Life	419	345	855	501	121
Individual Annuities	-27,778	-13,873	72	2,273	1,737
Group Annuities	2	2	-15	-15	13
Accident & Health	1	...	-3	-7	8
Other Lines of Business	314	306	289	432	149
Total	-26,466	-13,620	1,389	4,953	3,998

Source: BestLink® - Best's Financial Suite

Accident & Health Statistics	Year End - December 31				
	2024	2023	2022	2021	2020
Net Premiums Written USD (000)	2	2	-5	2	2
Net Premiums Earned USD (000)	2	2	-5	2	2
Expense Ratio (%)	18.7	72.0	-2.7	720.6	160.2
Combined Ratio (%)	18.7	72.0	-2.7	720.6	160.2
Underwriting Results USD (000)	1	...	-4	-9	10

Source: BestLink® - Best's Financial Suite

Business Profile

Originally incorporated as National Investors Life Insurance Company of Kentucky, the present title of Investors Heritage Life Insurance Company (IHLIC) was adopted in 1964. IHLIC is a wholly-owned subsidiary of Investors Heritage Capital Corporation (IHCC), a Frankfort, KY based holding company. IHCC is in turn owned by a NYC-based limited partnership, Aquarian Holdings (AH). AH acquired IHCC in March 2018 through Aquarian Investors Heritage Holdings (AIHH). AIHH was dissolved in 2021 and replaced with Aquarian Insurance Holdings (AIH), to better align the parent to own multiple entities moving forward. AIH also owns Hudson Life and Annuity Company. Most of the premiums prior to 2018 were derived from North Carolina, Kentucky and Tennessee, however with the launch of new annuity products, the premium distribution by state is more diversified.

IHLIC's business profile is evolving based on its new ownership structure. Previously, Investors Heritage Life sold whole life, term life, single premium life, multi-pay life and annuities. Investors Heritage Life's primary lines of business were pre-need insurance, final expense insurance, credit life and credit disability insurance, and group term insurance sold through associations. However, lately the shift has been to single premium deferred multi-year guaranteed annuities, fixed indexed annuities, and policies sold in the senior wealth transfer market. Investors Heritage Life is licensed in 47 states as of 2023 and plans to expand into two more states.

In 2018, the company launched a fixed deferred annuity product. The company had a controlled roll-out of the product with two leading distribution partners. In 2021, IHLIC launched a fixed indexed annuity product, with two leading distribution partners, which have been subsequently expanded to five national distribution partners. The FIA product quickly became the company's leading product sold. Pre-need products are now a smaller proportion of the product portfolio, while final expense is becoming significantly less strategic. Pre-need policies are sold to fund a specific pre-arranged funeral contract for funeral merchandise and services. Independent agents and regional/national marketing organizations distribute these products.

Business Profile (Continued...)

2024 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	9,119	0.8	-18	100.0	986	2.6	8,115	0.7	89.2
Group Life	25,312	2.1	...	...	-4	...	25,316	2.2	100.0
Individual Annuities	1,155,047	97.1	...	...	37,134	97.4	1,117,912	97.1	96.8
Accident & Health	1	...	...	...	...	...	2	...	128.7
Total	1,189,479	100.0	-18	100.0	38,116	100.0	1,151,345	100.0	96.8

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2024	2023	2022	2021	2020
California	149,878	79,486	15,524	5,887	641
Texas	113,297	60,959	51,975	42,102	916
Michigan	103,015	74,560	93,926	57,624	5,407
Florida	88,512	44,934	49,243	44,577	3,922
Arizona	79,684	27,146	22,982	16,887	219
Top 5 States	534,385	287,084	233,649	167,078	11,104
All Other	655,310	385,678	320,083	301,151	64,241
Total	1,189,695	672,762	553,732	468,229	75,345
Geographic Concentration Index	0.06	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

IHLIC's enterprise risk management (ERM) program is assessed by AM Best as appropriate. Corporate governance begins at the Board of Directors level, with an active Board of Directors that meets at least quarterly to review operations and performance with senior management. Senior management regularly meets with departments and various management levels to identify and evaluate risks. The company's centralized operations allow management to be actively involved in operations and all employees work in tandem to identify any risk areas and mitigate potential issues with appropriate controls and risk mitigation strategies. The company manages its risks through various avenues, including capital contributions, reinsurance and product monitoring. The company performs cash flow testing and some investment related stress testing through its asset manager.

In recent years, IHLIC undertook a project, ERM 2.0, to enhance their ERM program so that it would be scalable as the company grows. The enhancements include (but are not limited to): formation of formal Risk Management Committees with charters and deliverables, utilization of outside resources to support in-house processes and institute best practices, strengthening of the interaction across Actuarial, Investment, and Finance via an Asset Liability Committee, and creation of robust market intelligence to give nearly real-time understanding of product positioning.

Reinsurance Summary

Reinsurance quality has increased over the last few years as the Southland National Insurance Corporation treaty was recaptured. Similar actions were taken with Scottish Re in 2018. As a result, reinsurance dependence decreased and the quality has improved.

IHLIC partnered with Munich Re through two reinsurance treaties for one of its FIA products to help alleviate strain on the business. The company created Capital Avenue Reinsurance (CAR), an affiliate captive reinsurer to cede the excess of cash surrender value with the GLWB on a funds withheld basis. CAR retrocedes the difference between the ceded reserves and the funds withheld balance to New Re under an excess of loss agreement. IHLIC coinsures the remaining reserves after the GLWB reinsurance and receives a ceding commission.

Enterprise Risk Management (Continued...)

The company partnered with New Re (a Munich Re subsidiary) in 2024 to reinsure a portion of Heritage Growth Annuity (HGA) reserves. The reinsurance agreement was structured as 3.5% coinsurance, which provided surplus relief in the amount of \$27 million and \$7 million in statutory operating income. The treaty was amended in 2025 to allow for the reinsurance of new HGA product premium.

Environmental, Social & Governance

AM Best considers the company's exposure to material environmental, social, and governance (ESG) risks to be low. The company operates in an environment where its underwriting and operating activities have minimal exposure to climate risk. On the investment side, current allocation contains no large concentration in securities exposed to so-called toxic assets and industries. On a forward-looking basis, ESG factors are unlikely to impact the credit quality of the company over the short-term.

Financial Statements

	3-Months		Year End - December 31			
	2025		2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%	USD (000)	%
Cash and Short Term Investments	276,148	7.5	392,997	11.4	233,635	9.4
Bonds	2,864,788	78.2	2,640,027	76.6	1,709,290	68.9
Preferred and Common Stock	69,792	1.9	63,110	1.8	63,581	2.6
Other Invested Assets	383,512	10.5	286,180	8.3	419,973	16.9
Total Cash and Invested Assets	3,594,239	98.1	3,382,315	98.1	2,426,479	97.8
Premium Balances	2,025	0.1	2,060	0.1	2,179	0.1
Net Deferred Tax Asset	13,831	0.4	11,858	0.3	10,073	0.4
Other Assets	52,411	1.4	51,583	1.5	42,225	1.7
Total General Account Assets	3,662,506	100.0	3,447,815	100.0	2,480,956	100.0
Total Assets	3,662,506	100.0	3,447,815	100.0	2,480,956	100.0
Net Life Reserves	3,130,757	85.5	2,948,295	85.5	2,139,550	86.2
Net Accident & Health Reserves	1	...	1	...	1	...
Liability for Deposit Contracts	3,551	0.1	3,457	0.1	3,478	0.1
Asset Valuation Reserve	26,337	0.7	24,193	0.7	18,180	0.7
Other Liabilities	217,981	6.0	190,978	5.5	135,269	5.5
Total General Account Liabilities	3,378,627	92.2	3,166,924	91.9	2,296,477	92.6
Total Liabilities	3,378,627	92.2	3,166,924	91.9	2,296,477	92.6
Capital Stock	2,500	0.1	2,500	0.1	2,500	0.1
Paid-In and Contributed Surplus	288,500	7.9	288,500	8.4	188,500	7.6
Unassigned Surplus	-7,121	-0.2	-10,110	-0.3	-6,521	-0.3
Total Capital and Surplus	283,879	7.8	280,890	8.1	184,479	7.4
Total Liabilities, Capital and Surplus	3,662,506	100.0	3,447,815	100.0	2,480,956	100.0

Source: BestLink® - Best's Financial Suite

	3-Months		Year End - December 31	
	2025	2024	2024	2023
Income Statement USD (000)				
Net Premiums Earned:				
Individual Life	...	...	8,115	9,651
Group Life	...	...	25,316	28,105
Individual Annuities	...	...	1,117,912	612,733
Accident & Health	...	...	2	2
Total Net Premiums Earned	224,001	310,298	1,151,345	650,491
Net Investment Income	43,548	29,544	182,583	96,446
Other Income	10,835	9,634	45,395	22,964
Total Revenue	278,385	349,477	1,379,323	769,901
Policy Benefits	243,588	330,107	1,247,273	694,893
Commissions and Expense Allowances	24,341	32,517	122,374	69,629
Insurance and Other Expense	9,071	6,519	31,303	22,152
Dividends to Policyholders	68	70	256	265
Pre-Tax Net Operating Gain	1,316	-19,736	-21,883	-17,038
Income Taxes Incurred	2,192	42	4,583	-3,418
Net Operating Gain	-876	-19,779	-26,466	-13,620
Net Realized Capital Gains	-5,010	86	-6,544	11,100
Net Income	-5,886	-19,693	-33,010	-2,520

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	3-Months		Year End - December 31	
	2025	2024	2024	2023
Net Premiums Collected	233,222	320,084	1,188,627	671,359
Net Investment Income	39,444	27,930	166,062	85,500
Other Income Received	8,005	3,634	27,643	15,659
Total Collected Operating Revenue	280,671	351,648	1,382,333	772,518
Net Benefits and Loss Related Payments	54,059	179,949	390,275	133,213
Commissions and Other Expenses Paid	30,037	37,638	143,876	87,694
Dividends to Policyholders	67	68	263	272
Income Taxes Paid (Recovered)	83	71	-4	500
Total Paid Expenses and Transfers	84,246	217,727	534,410	221,680
Net Operating Cash Flow	196,425	133,921	847,923	550,838

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 08/15/2024](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 05/29/2025](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

A Best's Issue/Issuer Credit Rating is an opinion regarding the relative future credit risk of an entity, a credit commitment or a debt or debt-like security.

Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. These credit ratings do not address any other risk, including but not limited to liquidity risk, market value risk or price volatility of rated securities. The rating is not a recommendation to buy, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor does it address the suitability of any particular financial obligation for a specific purpose or purchaser.

In arriving at a rating decision, AM Best relies on third-party audited financial data and/or other information provided to it. While this information is believed to be reliable, AM Best does not independently verify the accuracy or reliability of the information. Any and all ratings, opinions and information contained herein are provided "as is," without any express or implied warranty.

Visit <https://www.ambest.com/ratings/index.html> for additional information or <https://web.ambest.com/about/terms-of-use> for details on the Terms of Use.



BEST'S CREDIT REPORT

AMB #: 006580 - Investors Heritage Life Insurance Co

Copyright © 2025 A.M. Best Company, Inc. and/or its affiliates. All rights reserved No portion of the content may be reproduced, distributed, or stored in a database or retrieval system, or transmitted, or uploaded into any external applications, algorithms, bots or websites, including those using artificial intelligence or machine learning technologies such as large language models (LLM) and generative artificial intelligence (Gen-AI) or retrieval-augmented generation (RAG) in any form or by any means without the prior written permission of AM Best. AM Best does not warrant the accuracy, completeness, or timeliness of the AM Best content. While the content was obtained from sources believed to be reliable, its accuracy is not guaranteed. You specifically acknowledge that neither AM Best nor the content gives any investment, financial, tax, insurance, or legal advice. You are solely responsible for seeking competent professional advice before making any investment, financial, tax or insurance decision. For additional details, refer to our *Terms of Use* available at the AM BEST website: <https://web.ambest.com/about/terms-of-use>. All information contained herein was obtained by AM BEST from sources believed by it to be accurate and reliable. Notwithstanding the foregoing, AM BEST does not make any representation or warranty, expressed or implied, as to the accuracy or completeness of the information contained herein, and all such information is provided on an "as is" and "as available" basis, without any warranties of any kind, either express or implied. Under no circumstances shall AM BEST have any liability to any person or entity for (a) any loss or damage of any kind, in whole or in part caused by, resulting from, or relating to, any error (negligent or otherwise) or other circumstance or contingency within or outside the control of AM BEST or any of its directors, officers, employees, or agents in connection with the procurement, collection, compilation, analysis, interpretation, communication, publication or delivery of any such information, or (b) any direct, indirect, special, consequential, compensatory, punitive or incidental damages whatsoever (including without limitation, personal injury, pain and suffering, emotional distress, loss of revenue, loss of present or prospective profits, loss of business or anticipated savings, or loss of goodwill) resulting from the use of, or inability to use, any such information, in each case, regardless of (i) whether AM BEST was advised in advance of the possibility of such damages, (ii) whether such damages were foreseeable, and (iii) the legal or equitable theory (contract, tort or otherwise) upon which the claim is based. The credit ratings, performance assessments, financial reporting analysis, projections, and any other observation, position or conclusion constituting part of the information contained herein are, and shall be construed solely as, statements of opinion and not statements of fact or recommendations to purchase, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor do they individually or collectively address the suitability of any particular financial obligation for a specific purpose or purchaser. Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. Service performance risk is the risk that an entity may not meet its contractual service performance obligations on behalf of its insurance partners. Consequently, neither credit ratings nor performance assessments address any other risk, including but not limited to, liquidity risk, market value risk or price volatility of rated securities. NO WARRANTY, EXPRESS OR IMPLIED, AS TO THE ACCURACY, TIMELINESS, COMPLETENESS, MERCHANTABILITY OR FITNESS FOR ANY PARTICULAR PURPOSE OF ANY SUCH RATING OR ASSESSMENT OR OTHER OPINION OR INFORMATION IS GIVEN OR MADE BY AM BEST IN ANY FORM OR MANNER WHATSOEVER. Each credit rating, performance assessment or other opinion must be weighed solely as one factor in any investment or purchasing decision made by or on behalf of any user of the information contained herein. Each such user will, with due care, make its own study and evaluation of each security or other financial obligation, and of each issuer and guarantor of, and each provider of credit support, and an independent view of service provider performance for, each security or other financial obligation that it may consider purchasing, holding, or selling or for each service contract that it may consider entering into. For additional detail on credit ratings or performance assessments, and their respective scales, usage, and limitations, refer to the Guide to Best's Credit Ratings (<https://www.ambest.com/ratings/index.html>) or the Guide to Best's Performance Assessments (<https://www.ambest.com/ratings/assessmentMethodology.html>).

Reports were prepared exclusively for the use of Sarah Barchman. Not for redistribution unless otherwise permitted.